

PAPER PRESENTATION & REPORT ASSIGNMENT

ECO403/503–INTRODUCTION TO CONTRACT THEORY AND AUCTIONS

ALEJANDRO MELO PONCE

NAZARBAYEV UNIVERSITY

1 Description & Instructions

This is an assignment for MA students. You will need to prepare a report on an academic paper which you will select from the list below.

Your report should address the following points:

1. Main question asked by the paper (Why is it important? How does it relate to the literature?)
2. The method used to answer the question
 - Theory: Brief description of the model.
 - Empirical: Brief description of the data and the statistical method.
3. Summary of the results.
4. Main limitations and possible lines of further research.

The most important point which you should focus your efforts is on point 4 above. Therefore, you are free to criticize the paper, but you need to think hard about the results in the paper and make sound and complete arguments for any criticism that you make. Please constrain yourselves to write your report in up to 5 pages with standard spacing and lettering.

You may choose a theoretical or an empirical paper. In section 2 below I provide a list of papers to choose from, but you may, after consulting me, choose a paper that is not in the list. I recommend you to skim through the papers first and then choose one that you find interesting and manageable. The following papers are surveys and provide a general overview of the field as well as a discussion of many of the papers in the list:

1. Joseph E Stiglitz. “The contributions of the economics of information to twentieth century economics”. In: *The quarterly journal of economics* 115.4 (2000), pp. 1441–1478.
2. Joseph E Stiglitz. “Information and the Change in the Paradigm in Economics”. In: *American economic review* 92.3 (2002), pp. 460–501.
3. John G Riley. “Silver signals: Twenty-five years of screening and signaling”. In: *Journal of Economic literature* 39.2 (2001), pp. 432–478.
4. David E.M. Sappington. “Incentives in principal-agent relationships”. In: *Journal of economic Perspectives* 5.2 (1991), pp. 45–66.
5. Canice Prendergast. “The provision of incentives in firms”. In: *Journal of economic literature* 37.1 (1999), pp. 7–63.
6. Pierre-André Chiappori and Bernard Salanie. “Testing Contract Theory: A Survey of Some Recent Work”. In: *Advances in Economic Theory, Sixth World Congress*. Ed. by L. Hansen M. Dewatripont and S. Turnovsky. 3rd ed. Vol. 1. An optional note. Cambridge University Press, July 2003.
7. M. Harris and A. Raviv. “Financial Contracting Theory”. In: *Advances in Economic Theory, Sixth World Congress*. Ed. by J.-J. Laffont. Vol. 2. UK: Cambridge University Press, 1992, pp. 64–150.

2 List of papers

2.1 Theoretical

2.1.1 Screening and Adverse Selection

1. Oliver D Hart. “Optimal labour contracts under asymmetric information: An introduction”. In: *The Review of Economic Studies* 50.1 (1983), pp. 3–35.
2. Joseph E Stiglitz. “Monopoly, non-linear pricing and imperfect information: the insurance market”. In: *The Review of Economic Studies* 44.3 (1977), pp. 407–430.
3. Joseph E Stiglitz and Andrew Weiss. “Credit rationing in markets with imperfect information”. In: *The American economic review* 71.3 (1981), pp. 393–410.

2.1.2 Moral Hazard

1. George P Baker. “Incentive contracts and performance measurement”. In: *Journal of political Economy* 100.3 (1992), pp. 598–614.
2. Oliver Hart and S Grossman. “An Analysis of the Principal-Agent Problem”. In: *Econometrica* (1983).
3. Milton Harris and Artur Raviv. “Capital structure and the informational role of debt”. In: *The Journal of Finance* 45.2 (1990), pp. 321–349.
4. Bengt Holmstrom. “Moral hazard and observability”. In: *Bell journal of Economics* 10.1 (1979), pp. 74–91.
5. Bengt Holmstrom. “Moral hazard in teams”. In: *The Bell Journal of Economics* (1982), pp. 324–340.
6. Bengt Holmstrom and Paul Milgrom. “Multitask principal-agent analyses: Incentive contracts, asset ownership, and job design”. In: *Journal of Law Economics and Organizations* 7 (1991), p. 24.
7. Carl Shapiro and Joseph E Stiglitz. “Equilibrium unemployment as a worker discipline device”. In: *The American Economic Review* 74.3 (1984), pp. 433–444.

2.1.3 Signaling

1. Hayne E Leland and David H Pyle. “Informational asymmetries, financial structure, and financial intermediation”. In: *The journal of Finance* 32.2 (1977), pp. 371–387.
2. Stewart C Myers and Nicholas S Majluf. “Corporate financing and investment decisions when firms have information that investors do not have”. In: *Journal of financial economics* 13.2 (1984), pp. 187–221.

2.1.4 New Topics in Contract Theory

1. Kfir Eliaz and Ran Spiegler. “Contracting with diversely naive agents”. In: *The Review of Economic Studies* 73.3 (2006), pp. 689–714.
2. Stefano DellaVigna and Ulrike Malmendier. “Paying not to go to the gym”. In: *American Economic Review* 96.3 (2006), pp. 694–719.
3. Michael D Grubb. “Selling to overconfident consumers”. In: *American Economic Review* 99.5 (2009), pp. 1770–1807.
4. Gabriel Carroll. “Robustness and linear contracts”. In: *American Economic Review* 105.2 (2015), pp. 536–63.

5. Gabriel Carroll. “Robustness and separation in multidimensional screening”. In: *Econometrica* 85.2 (2017), pp. 453–488.

2.2 Empirical

2.2.1 Screening and Adverse Selection

1. Lawrence M Ausubel. *Adverse selection in the credit card market*. Tech. rep. working paper, University of Maryland, 1999.
2. Pierre-André Chiappori and Bernard Salanié. “Testing for asymmetric information in insurance markets”. In: *Journal of political Economy* 108.1 (2000), pp. 56–78.
3. Pierre-André Chiappori et al. “Asymmetric information in insurance: General testable implications”. In: *The RAND Journal of Economics* 37.4 (2006), pp. 783–798.
4. Amy Finkelstein and James Poterba. “Adverse selection in insurance markets: Policyholder evidence from the UK annuity market”. In: *Journal of Political Economy* 112.1 (2004), pp. 183–208.
5. Amy Finkelstein and Kathleen McGarry. “Multiple dimensions of private information: evidence from the long-term care insurance market”. In: *American Economic Review* 96.4 (2006), pp. 938–958.
6. Amy Finkelstein and James Poterba. *Testing for Adverse Selection with “Unused Observables”*. Tech. rep. Mimeo, MIT, 2006.
7. Dean Karlan and Jonathan Zinman. “Observing unobservables: Identifying information asymmetries with a consumer credit field experiment”. In: *Econometrica* 77.6 (2009), pp. 1993–2008.

2.2.2 Moral Hazard

1. Daniel A Akerberg and Maristella Botticini. “Endogenous matching and the empirical determinants of contract form”. In: *Journal of Political Economy* 110.3 (2002), pp. 564–591.
2. Abhijit V Banerjee, Paul J Gertler, and Maitreesh Ghatak. “Empowerment and efficiency: Tenancy reform in West Bengal”. In: *Journal of political economy* 110.2 (2002), pp. 239–280.
3. Pierre-André Chiappori, Franck Durand, and Pierre-Yves Geoffard. “Moral hazard and the demand for physician services: First lessons from a French natural experiment”. In: *European economic review* 42.3-5 (1998), pp. 499–511.
4. Pascal Courty and Gerald Marschke. “Measuring government performance: Lessons from a federal job-training program”. In: *The American Economic Review* 87.2 (1997), pp. 383–388.
5. Georges Dionne, Pierre St-Michel, et al. “Workers’ compensation and moral hazard”. In: *Review of Economics and Statistics* 73.2 (1991), pp. 236–244.
6. F Andrew Hanssen. “Revenue-sharing in movie exhibition and the arrival of sound”. In: *Economic Inquiry* 40.3 (2002), pp. 380–402.
7. Jean-Jacques Laffont and Mohamed Salah Matoussi. “Moral hazard, financial constraints and sharecropping in El Oulja”. In: *The Review of Economic Studies* 62.3 (1995), pp. 381–399.
8. Edward P Lazear. “Performance pay and productivity”. In: *American Economic Review* 90.5 (2000), pp. 1346–1361.

9. Harry J Paarsch and Bruce Shearer. "Piece rates, fixed wages, and incentive effects: Statistical evidence from payroll records". In: *International Economic Review* 41.1 (2000), pp. 59–92.
10. Anna L Paulson, Robert M Townsend, and Alexander Karaivanov. "Distinguishing limited liability from moral hazard in a model of entrepreneurship". In: *Journal of political Economy* 114.1 (2006), pp. 100–144.
11. Bruce Shearer. "Piece rates, fixed wages and incentives: Evidence from a field experiment". In: *The Review of Economic Studies* 71.2 (2004), pp. 513–534.

2.2.3 Signaling

1. Kelly Bedard. "Human capital versus signaling models: university access and high school dropouts". In: *Journal of Political Economy* 109.4 (2001), pp. 749–775.
2. Kevin Lang and David Kropp. "Human capital versus sorting: the effects of compulsory attendance laws". In: *The Quarterly Journal of Economics* 101.3 (1986), pp. 609–624.